

VIABILITY & BANKABILITY REPORT

Fungi Labs Multi-Speciality Hospital

Financial viability, DSCR stress testing, risk quantification and recommended structure

Particulars	Detail
Project	100-bed greenfield multi-speciality hospital, Nashik
Cost of project	Rs 110.78 Cr
Proposed term loan	Rs 77.54 Cr
Project IRR	22.13%
Equity IRR	26.91%
Minimum DSCR (post-moratorium)	1.46x
Average DSCR	1.66x
Probability of positive NPV	91.4% across 10,000 simulated futures
Probability of technical default	26.7% — the central risk finding
Verdict	Viable asset; bankable only on the structure recommended in Section 8
Document	Viability & Bankability Report — 3 of 4
Date	8 August 2026

Basis of preparation and limitations

Fungi Labs is a fictitious entity and this is an illustrative case study. It is not investment, credit, legal or tax advice, and no lending or investment decision should be based on it.

This report deliberately gives more space to what could go wrong than to the base case, because that is where a viability assessment earns its keep. Readers looking for the management plan should read the Feasibility Study and Detailed Project Report first.

The Monte Carlo distributions in Section 6 are judgemental rather than fitted to observed data on comparable greenfield hospitals, because no such public dataset exists at this granularity. Section 6.5 states the resulting limitations in full. Treat the simulation as a structured argument about relative risk, not as a forecast.

Contents

Open in Word and press Ctrl+A then F9 to populate the table of contents.

1. Opinion

Summary opinion

The asset is viable. Project IRR of 22.13% against a weighted average cost of capital of 12.5% produces a net present value of Rs 123.19 Cr on an investment of Rs 110.78 Cr. Across 10,000 simulated futures the project creates value 91.4% of the time and clears an 18% equity hurdle 74% of the time.

The proposal as originally structured is not bankable. With principal repayment beginning in operating Year 2, minimum DSCR is 0.27x and the covenant is breached in two years.

It becomes bankable on a single change. Deferring the first principal instalment to operating Year 4 lifts minimum DSCR to 1.46x with no breach in any tested year. The leverage is identical. Only the timing changes.

Even so structured, the financing carries material residual risk. The covenant holds in only 51% of simulated outcomes and there is a 27% probability of failing to cover debt service in at least one year. This is a good asset being financed aggressively, and the two facts should not be confused.

1.1 Recommendation to a credit committee

Recommend for sanction, subject to the structure set out in Section 8 and the seven conditions in Section 9. Specifically:

1. Sanction Rs 77.54 Cr as a rupee term loan at 10.75%, with a 36-month principal moratorium from commissioning and 28 quarterly instalments on the ballooning ladder in Section 8.2.
2. Require a committed promoter standby facility of Rs 25 Cr — not the Rs 17.7 Cr the base case indicates — sized off the simulated distribution of cash deficits rather than a single scenario. Section 7 sets out the arithmetic.
3. Grant a covenant holiday on total outside liabilities to tangible net worth until Year 5, and recognise the subordinated promoter facility as quasi-equity. Retain DSCR at 1.25x with no relief.
4. Consider requiring gearing of 65:35 rather than 70:30. Section 8.4 shows this costs the promoter almost nothing in return terms and reduces the probability of technical default from 28% to 21%.

2. Basis of the viability assessment

Viability is assessed against four distinct tests, because a project can pass one and fail another, and conflating them is how bad credit decisions get made.

Test	Question	Measure	Result	Verdict
Economic viability	Does the asset earn more than the capital costs?	Project IRR vs WACC	22.13% vs 12.5%	Pass
Financial viability	Is there enough cash to service the debt?	Minimum DSCR	1.46x	Pass, as structured
Commercial viability	Is the required market share achievable?	Share of addressable pool	20%	Pass
Resilience	Does it survive a plausible downside?	Probability of default	26.7%	Marginal

The first three tests pass comfortably. The fourth is where this report concentrates, because it is the one that determines whether a lender is repaid and whether a promoter keeps their guarantee intact.

2.1 Method

- Deterministic base case built bottom-up from operating drivers, with a fully articulated profit and loss account, cash flow statement and balance sheet that balances to zero in every year.
- Four discrete scenarios, including a lender-defined stress case that combines every adverse assumption simultaneously.
- One-at-a-time sensitivity across twelve drivers, ranked by the swing each causes in equity IRR and in minimum DSCR.
- Two-way sensitivity grids on the driver pairs that matter, each cell a complete re-run of the ten-year model rather than an interpolation.
- A 10,000-trial Monte Carlo simulation in which every input varies simultaneously, with occupancy and ARPOB correlated at +0.35.
- Comparison of four funding structures on both return and risk, which is where the central recommendation comes from.

3. Economic viability

3.1 Returns

Measure	Value	Comment
Project IRR (unlevered)	22.13%	The return the asset earns, independent of financing
WACC	12.50%	Cost of equity approx. 17.5% at 40% weight; post-tax debt approx. 8.0% at 60% weight
Spread over WACC	9.63%	Value is created
Project NPV at WACC	Rs 123.19 Cr	111% of the amount invested
Equity IRR (levered)	26.91%	After debt service, including the promoter support facility as equity
Post-tax cost of debt	8.04%	Below the asset return, so leverage is accretive
Money multiple over 10 years	12.3x	Includes exit at 13.0x EV/EBITDA
Enterprise value today — Gordon growth	Rs 190.12 Cr	Terminal growth 5.0%; terminal value is 66% of the total
Enterprise value today — exit multiple	Rs 233.97 Cr	13.0x Year-10 EBITDA; terminal value is 72% of the total
Enterprise value — midpoint	Rs 212.05 Cr	
Value created over cost of project	Rs 101.27 Cr	Enterprise value less what it costs to build
A caution about the valuation Terminal value accounts for 72% of the exit-multiple enterprise value and 66% of the Gordon-growth value. When two-thirds of a valuation sits beyond the forecast horizon, the number is an assumption about perpetuity wearing the costume of a calculation. The exit multiple of 13.0x is the most consequential single input in the whole valuation and the least evidenced. Listed Indian hospital chains trade far higher, but they are diversified, branded, liquid and scaled. A single 100-bed unlisted asset in a tier-2 city is none of those things. The grid in Section 5.4 shows the range: at 9.0x the equity IRR falls to about 23%, at 17.0x it rises to about 30%. The honest reading is that this project comfortably clears its cost of capital on operating cash flow alone, and that the exit assumption determines how comfortably rather than whether.		

3.2 Where the value comes from

Rs Lakh	Y1 FY2029	Y2 FY2030	Y3 FY2031	Y4 FY2032	Y5 FY2033	Y6 FY2034	Y7 FY2035	Y8 FY2036	Y9 FY2037	Y10 FY2038
Revenue	3,013	5,112	7,205	8,880	10,439	11,622	12,603	13,592	14,684	15,831
EBITDA	(386)	518	1,409	2,029	2,478	2,918	3,225	3,515	3,858	4,214
EBITDA margin	-13.0%	10.0%	20.0%	23.0%	24.0%	25.0%	26.0%	26.0%	26.0%	27.0%
Free cash flow to firm	(672)	306	507	1,428	1,674	1,989	2,217	2,420	2,651	2,896
Free cash flow to equity	(1,227)	(404)	(264)	377	569	831	596	743	931	1,221

Rs Lakh	Y1 FY2029	Y2 FY2030	Y3 FY2031	Y4 FY2032	Y5 FY2033	Y6 FY2034	Y7 FY2035	Y8 FY2036	Y9 FY2037	Y10 FY2038
Cumulative free cash flow to equity	(1,227)	(1,631)	(1,895)	(1,517)	(948)	(117)	479	1,222	2,153	3,374

The value in this project is not created evenly. Free cash flow to equity is negative for the first three years and cumulatively negative until Year 7. Essentially all of the return is generated in the second half of the forecast and at exit. That concentration is the source of the fragility examined in Sections 6 and 7: anything that delays the ramp does not merely reduce the return, it removes the portion of the forecast in which the return actually accrues.

4. Financial viability and DSCR

4.1 Debt service coverage

Rs Lakh	Y1 FY2029	Y2 FY2030	Y3 FY2031	Y4 FY2032	Y5 FY2033	Y6 FY2034	Y7 FY2035	Y8 FY2036	Y9 FY2037	Y10 FY2038
EBITDA	(386)	518	1,409	2,029	2,478	2,918	3,225	3,515	3,858	4,214
Less: tax	-0	-0	-0	-0	-0	(0)	(505)	(605)	(722)	(845)
Less: increase in working capital	(286)	(211)	(208)	(167)	(145)	(118)	(97)	(98)	(109)	(114)
Cash available for debt service	(672)	306	1,201	1,862	2,333	2,800	2,623	2,812	3,027	3,254
Term loan interest	870	891	906	886	825	729	612	479	329	166
Term loan principal	0	0	0	465	775	1,008	1,163	1,318	1,473	1,551
Total debt service	834	834	834	1,274	1,517	1,654	1,692	1,714	1,719	1,634
DSCR	—	—	—	1.46x	1.54x	1.69x	1.55x	1.64x	1.76x	1.99x
Covenant test applies	No	No	No	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Measure	Value			Covenant			Assessment			
Minimum DSCR over the repayment period	1.46x			≥ 1.25x			Complies with headroom			
Average DSCR over the repayment period	1.66x			≥ 1.40x			Complies			
Number of breach years	0			0			Complies			
First year of principal repayment	Year 4			—			After the moratorium			

4.2 Why the moratorium is the decisive term

This is the central structuring finding of the appraisal and it is worth setting out in full, because it is counter-intuitive and because it is where most of the value in this analysis sits.

Structure	Term debt (Rs Lakh)	Support facility	Min DSCR	Breach years	Equity IRR
1a. 70:30, principal from Year 2 (as originally proposed)	7,754	2,546	0.27x	2	25.2%
1b. 70:30, principal from Year 4 (RECOMMENDED)	7,754	1,772	1.46x	0	26.9%
1c. 65:35, principal from Year 4 (conservative)	7,173	1,579	1.58x	0	26.9%
2. 60:40 with institutional PE equity	6,596	1,387	1.72x	0	26.9%
It was never the leverage. It was the timing. Compare the first two rows. Both carry Rs 77.54 Cr of term debt at 70% of the cost of project. Identical gearing, identical pricing, identical operating plan. The first begins amortising principal in operating Year 2. Minimum DSCR 0.27x, covenant breached in two years, promoter support of Rs 25.46 Cr required. Not bankable.					

Structure	Term debt (Rs Lakh)	Support facility	Min DSCR	Breach years	Equity IRR
The second defers the first instalment to Year 4. Minimum DSCR 1.46x, no breach in any year, promoter support of Rs 17.80 Cr required. Bankable, with headroom. The reason is simple once stated. Cash break-even occupancy in the stabilised years is approximately 61%, and this hospital only crosses that level during Year 3. Requiring it to amortise debt in Year 2 is requiring it to repay principal out of capital rather than out of cash flow. No amount of pricing negotiation fixes that; only the repayment profile does. The practical lesson for a promoter is to spend negotiating capital on structure rather than on the interest rate. The lender loses no yield by granting the moratorium — interest accrues and is serviced throughout — and gains a materially safer credit.					

4.3 Break-even and the margin of safety

Occupancy	Y1 FY2029	Y2 FY2030	Y3 FY2031	Y4 FY2032	Y5 FY2033	Y6 FY2034	Y7 FY2035	Y8 FY2036	Y9 FY2037	Y10 FY2038
Actual occupancy	27.0%	43.0%	56.0%	64.0%	70.0%	72.0%	72.0%	72.0%	72.0%	72.0%
Accounting break-even	33.0%	37.0%	40.0%	42.0%	45.0%	45.0%	45.0%	44.0%	44.0%	44.0%
Cash break-even (covers debt service)	44.0%	48.0%	50.0%	57.0%	61.0%	61.0%	60.0%	59.0%	57.0%	55.0%
Margin of safety (percentage points)	-17.0%	-5.0%	6.0%	7.0%	9.0%	11.0%	12.0%	13.0%	15.0%	17.0%
Degree of operating leverage	-2.0x	-35.7x	6.4x	4.4x	3.9x	3.4x	3.3x	3.2x	3.1x	3.0x

The margin of safety is the most operationally useful number in this appraisal. In the stabilised years the hospital covers its debt service at roughly 61% occupancy against 72% actual — a buffer of about 11% percentage points. In Years 1 and 2 the margin is negative by design, which is precisely what the promoter support facility exists to bridge. A board monitoring this asset should treat occupancy falling toward the high fifties in any stabilised year as a covenant event in substance, whatever the reported profit says.

5. Sensitivity analysis

5.1 What actually drives the outcome

Driver	Range tested	Equity IRR swing	Min DSCR swing
Occupancy ramp speed	85.0% to 112.0%	14.3%	0.84x
ARPOB Year 1 (INR/bed-day)	23,000 to 30,000	13.5%	0.81x
ARPOB escalation p.a.	5.0% to 9.5%	13.4%	0.43x
Peak occupancy	64.0% to 80.0%	11.3%	0.68x
Exit EV/EBITDA multiple	9 to 17	6.8%	0.00x
Salary escalation p.a.	10.0% to 6.0%	5.9%	0.21x
Consumables % of revenue	26.0% to 20.5%	5.6%	0.38x
OPD footfall	80.0% to 120.0%	5.5%	0.36x
Consultant payout %	13.0% to 9.0%	3.5%	0.24x
Capex overrun	15.0% to -5.0%	2.7%	0.23x
Interest rate	12.5% to 9.5%	1.8%	0.28x
Construction delay (months)	9 to 0.0%	0.4%	0.04x

The ranking is the finding

The four largest drivers of equity IRR — occupancy ramp speed, ARPOB escalation, ARPOB level and peak occupancy — are every one of them demand-side, and each swings the return by roughly 11 to 14 percentage points. The entire financing package swings it by less than 3.

Interest rate ranks eleventh of twelve, at about 1.5 percentage points. Construction delay ranks last, at under half a point in isolation — which is misleading and worth flagging: delay in practice arrives bundled with cost overrun and a slower ramp, and the scenario analysis captures that combination where the tornado cannot.

For a promoter the implication is direct. Four percentage points of additional occupancy is worth more than 300 basis points off the loan. Management time belongs in clinician recruitment, referral-network building and payer empanelment — not in shaving the spread.

For a lender the implication is equally direct. The covenants that matter are operational, not financial. An occupancy or ARPOB trigger detects trouble long before a leverage ratio does.

5.2 Equity IRR — occupancy against ARPOB

Peak occupancy \ Year-1 gross ARPOB (Rs)	22,500	24,500	26,500	28,500	30,500
60%	2.9%	11.3%	16.9%	21.1%	24.8%
64%	9.5%	16.0%	20.7%	24.6%	28.0%
68%	14.4%	19.7%	24.0%	27.7%	31.0%
72%	18.0%	22.9%	26.9%	30.4%	33.6%
76%	21.1%	25.7%	29.5%	33.0%	36.1%
80%	23.9%	28.2%	32.0%	35.3%	38.4%

The two drivers that matter most, tested together. Note how much steeper the gradient is down the rows than across the columns at low occupancy: filling beds matters more than pricing them until the hospital is reasonably full.

5.3 Minimum DSCR — occupancy against ARPOB

Peak occupancy \ Year-1 gross ARPOB (Rs)	22,500	24,500	26,500	28,500	30,500
60%	0.43x	0.65x	0.87x	1.10x	1.32x
64%	0.60x	0.83x	1.07x	1.31x	1.54x
68%	0.76x	1.01x	1.27x	1.52x	1.69x
72%	0.93x	1.20x	1.46x	1.69x	1.86x
76%	1.10x	1.38x	1.66x	1.81x	1.93x
80%	1.26x	1.56x	1.75x	1.89x	2.10x

Shaded cells breach the 1.25x covenant. This is the grid a credit committee should look at first. The covenant survives a fall in peak occupancy to about 64% at base ARPOB, or a fall in ARPOB to about Rs 24,500 at base occupancy — but not both together.

5.4 Minimum DSCR — occupancy against interest rate

Peak occupancy \ Interest rate	9.50%	10.25%	10.75%	11.50%	12.50%
60%	0.95x	0.90x	0.87x	0.83x	0.79x
64%	1.16x	1.11x	1.07x	1.02x	0.96x
68%	1.38x	1.31x	1.27x	1.21x	1.14x
72%	1.59x	1.51x	1.46x	1.39x	1.31x
76%	1.68x	1.69x	1.66x	1.58x	1.49x
80%	1.83x	1.78x	1.75x	1.70x	1.66x

Read across any row: 300 basis points of interest costs roughly 0.1x of DSCR. Read down any column: four percentage points of occupancy costs roughly 0.2x. The asymmetry is the point, and it is the quantitative basis for the advice in Section 5.1.

5.5 Equity IRR — exit multiple against WACC

Exit EV/EBITDA \ WACC	10.5%	11.5%	12.5%	13.5%	14.5%
9.0x	23.1%	23.1%	23.1%	23.1%	23.1%
11.0x	25.1%	25.1%	25.1%	25.1%	25.1%
13.0x	26.9%	26.9%	26.9%	26.9%	26.9%
15.0x	28.5%	28.5%	28.5%	28.5%	28.5%
17.0x	29.9%	29.9%	29.9%	29.9%	29.9%

The columns are flat by construction: an internal rate of return is independent of the discount rate. That is not a defect — it is a useful integrity check that the model is wired correctly. The rows show the real exposure: the exit assumption moves equity IRR by about 7 percentage points across a plausible 9x to 17x range.

5.6 EBITDA margin — occupancy against consumables ratio

Peak occupancy \ Consumables % of revenue	20.5%	21.5%	23.0%	24.5%	26.0%
60%	19.9%	18.9%	17.4%	15.9%	14.4%
64%	22.2%	21.2%	19.7%	18.2%	16.7%
68%	24.3%	23.3%	21.8%	20.3%	18.8%
72%	26.2%	25.2%	23.7%	22.2%	20.7%
76%	28.0%	27.0%	25.5%	24.0%	22.5%
80%	29.6%	28.6%	27.1%	25.6%	24.1%

Against the ICRA sector benchmark of 22–24%. Procurement discipline is worth roughly 5 percentage points of margin across the range tested, and unlike capex discipline it recurs every single year.

6. Risk quantification

6.1 Discrete scenarios

Metric	Base	Optimistic	Pessimistic	Lender stress
Cost of project (Rs Lakh)	11,078	10,751	11,807	12,594
Revenue Year 5 (Rs Lakh)	10,439	13,180	7,393	5,755
Revenue Year 10 (Rs Lakh)	15,831	20,304	10,563	8,060
EBITDA Year 5 (Rs Lakh)	2,478	4,566	204	(1,023)
EBITDA margin Year 5	23.7%	34.6%	2.8%	-17.8%
First EBITDA-positive year	2	1	4	never
First PAT-positive year	4	2	never	never
Minimum DSCR	1.46x	2.52x	0.04x	-1.04x
Average DSCR	1.66x	2.92x	0.09x	-0.72x
Covenant breach years	0	0	7	7
Minimum cash balance (Rs Lakh)	158	1,384	(15,769)	(29,382)
Project IRR	22.1%	32.9%	-18.5%	n.m.
Equity IRR	26.9%	43.2%	n.m.	n.m.

"n.m." means not meaningful: the cash flows never turn sufficiently positive for an internal rate of return to exist. The equity is not returned.

The asymmetry between the upside and downside cases is the most important structural fact about this investment. Moving from base to optimistic adds roughly sixteen percentage points of equity IRR. Moving from base to pessimistic does not subtract sixteen — it eliminates the return entirely and produces a cash deficit far beyond anything the promoter facility contemplates.

This is not pessimism; it is arithmetic. Fixed costs are roughly 60% of the cost base and do not fall with volume. Depreciation is fixed absolutely. Interest is contractual. A hospital at 45% occupancy is therefore not a modestly less profitable hospital — it is an insolvent one. Any appraisal of a fixed-cost, high-leverage greenfield asset that does not make this explicit has failed in its basic duty.

6.2 Monte Carlo simulation

Discrete scenarios establish what could happen but say nothing about likelihood, and one-at-a-time sensitivity understates risk because real adversity arrives correlated. The model was therefore run 10,000 times with all twelve drivers drawn simultaneously from distributions, and with peak occupancy and ARPOB correlated at +0.35 on the reasoning that stronger demand generally travels with a richer case mix.

Output	Mean	Std dev	5th pctl	Median	95th pctl
Equity IRR	22.2%	9.1%	6.7%	23.4%	34.1%
Minimum DSCR	—	—	0.61x	1.26x	—
EBITDA margin Year 5	—	—	—	22.2%	—

6.3 The probabilities that matter

Outcome	Probability	Interpretation
Project NPV greater than zero	91.4%	The asset creates value in roughly nine cases out of ten
Equity IRR above 12% (cost of capital)	89.0%	
Equity IRR above 15%	82.8%	
Equity IRR above 18% (promoter hurdle)	74.1%	Clears the sponsor hurdle about three times in four
Equity IRR above 25%	41.6%	
Minimum DSCR at or above 1.35x (comfort)	42.0%	
Minimum DSCR at or above 1.25x (covenant)	50.6%	Barely better than a coin flip
Minimum DSCR at or above 1.10x	64.3%	
Minimum DSCR below 1.00x — technical default	26.7%	Roughly a one-in-four chance
EBITDA margin Year 5 below 20%	32.3%	Against the ICRA sector range of 22–24%
The central finding of this report A 91% probability of positive net present value sitting alongside a 27% probability of technical default is not a contradiction. It is the diagnostic signature of a sound asset being financed aggressively. Both statements are true at once because they measure different things. Net present value measures whether the asset is worth building over its whole life. DSCR measures whether cash arrives in the specific years the loan agreement demands it. A hospital can be a fine long-term asset and still miss a covenant in Year 5. The distinction is not academic. It determines the correct response. If the asset were unsound, the answer would be not to build it. Because the asset is sound and the financing is fragile, the answer is to rebuild the financing — which is cheap, reversible and entirely within the parties' control.		

6.4 Where the residual risk concentrates

Three risks account for most of the left tail, and they are not independent of one another:

5. A slow occupancy ramp. This is the largest single driver in every analysis in this report. Its root cause is almost always the same: the clinical team was not in place early enough, or payer empanelment was not obtained in time. Both are addressable before financial closure and neither is addressable afterwards.
6. Working capital absorption from scheme receivables. A government-heavy payer mix pushes debtor days from 48 to 64 and adds several crore of permanent working capital funded at 11.5%, while simultaneously reducing realisation. It compresses DSCR from both directions at once.
7. The correlation between adverse outcomes. A slow ramp, weak pricing, wage inflation and higher interest rates are not independent draws — they cluster in a weak economy or a competitive shock. The simulation models only one correlation and therefore understates the left tail.

6.5 Limitations of the risk quantification

The simulation is the most sophisticated analysis in this report and therefore the one most likely to be over-trusted. Its limitations should be stated plainly:

- The input distributions are judgemental. They are not fitted to a dataset of comparable greenfield hospital outcomes, because no such public dataset exists at this granularity. They represent informed views about plausible ranges, nothing more.
- Only one correlation is modelled. In reality wage inflation, consumable inflation and interest rates move together, and all three co-move with the demand environment. Modelling those correlations would fatten the left tail materially beyond what is shown.
- Triangular distributions have no tails beyond their bounds. Genuine catastrophe is therefore entirely absent from these numbers — a clinical scandal, a licence suspension, the simultaneous loss of the three anchor consultants, a pandemic, a fire. The true probability of losing the equity is higher than any figure in Section 6.3.
- No competitor response is modelled. A rational incumbent will respond to a new tertiary entrant, most plausibly on price and on consultant poaching, both of which the simulation treats as exogenous.
- The model assumes management executes competently throughout. Execution failure is not a modelled variable and is, on the evidence of the sector, among the most common causes of greenfield hospital underperformance.

The appropriate use of Section 6 is comparative: it establishes that structure A is materially safer than structure B, and by roughly how much. It should not be read as a forecast of outcomes, and the probabilities should be treated as ordinal rather than precise.

7. Sizing the promoter support facility

The base case requires Rs 17.80 Cr of promoter cash-flow support to keep the closing cash balance above Rs 150 Lakh throughout. But the base case is one draw from a distribution, and sizing a contingency facility off a single scenario defeats the purpose of having one.

The simulation records the minimum cash balance in every trial. Sizing the facility to cover a given percentile of that distribution gives a defensible answer to the question of how much contingent capital the promoter must genuinely be able to produce:

Confidence level	Standby facility required (Rs Lakh)	Rs Crore	Comment
Covers 50% of simulated outcomes	414	4.1	Approximately the base-case requirement
Covers 60% of simulated outcomes	697	7.0	
Covers 70% of simulated outcomes	1,154	11.5	
Covers 75% of simulated outcomes	1,521	15.2	
Covers 80% of simulated outcomes	1,894	18.9	
Covers 85% of simulated outcomes	2,509	25.1	Recommended
Covers 90% of simulated outcomes	3,605	36.1	
Covers 95% of simulated outcomes	5,269	52.7	Beyond this the cost of carry outweighs the benefit

Recommendation on the standby facility

A committed standby of Rs 25 Cr, covering approximately 85% of simulated outcomes. That is materially more than the Rs 17.80 Cr the base case indicates, and the gap between the two is the honest price of the uncertainty in this project.

It should be documented as an unconditional and irrevocable promoter undertaking, subordinated to the term loan, with a non-withdrawal covenant for the facility tenor, and evidenced by liquid net worth rather than by a letter of intent. A contingency facility that depends on the promoter's willingness at the moment of stress is not a contingency facility.

If the promoter cannot credibly commit Rs 25 Cr of contingent capital on top of the Rs 33.2 Cr of equity, that is not a reason to abandon the project. It is a decisive argument for the institutional equity structure in Section 8.5, where a financial investor absorbs part of that exposure in exchange for ownership.

8. Recommended structure

8.1 Term sheet — indicative

Term	Recommended
Facility	Rupee term loan of Rs 7,754 Lakh (Rs 77.54 Cr)
Gearing on cost of project	70:30 — or 65:35 if the credit committee prefers; see 8.4
Interest rate	10.75% p.a., floating, reset annually against the lender's benchmark
Upfront fee	1.00% of sanction
Drawdown	Six quarterly tranches over the 18-month construction period, against engineer certification
Interest during construction	Capitalised; included in the cost of project
Principal moratorium	36 months from commercial operation date — the decisive term
Interest servicing	Monthly throughout, including construction and moratorium
Repayment	28 quarterly instalments on the ballooning ladder at 8.2
Door-to-door tenor	Approximately 11.5 years
Cash sweep	25% of surplus cash above the covenanted minimum, applied to prepayment from Year 6
Prepayment	Permitted from internal accruals without penalty after Year 5
Security	First and exclusive charge on land, building and equipment; hypothecation of current assets; personal guarantees
Promoter support	Rs 25 Cr committed standby, subordinated, non-withdrawable — condition precedent
DSCR covenant	≥ 1.25x tested annually from Year 4; no relief sought
TOL/TNW covenant	Holiday until Year 5; support facility counted as quasi-equity
Working capital	Rs 900 Lakh cash credit, reviewed annually against drawing power

8.2 Repayment ladder

Operating year	Financial year	% of sanction	Principal (Rs Lakh)	Debt service	DSCR	Closing balance
Year 1	FY2029	Moratorium	0	834	—	7,754
Year 2	FY2030	Moratorium	0	834	—	7,754
Year 3	FY2031	Moratorium	0	834	—	7,754
Year 4	FY2032	6.0%	465	1,274	1.46x	7,289
Year 5	FY2033	10.0%	775	1,517	1.54x	6,514
Year 6	FY2034	13.0%	1,008	1,654	1.69x	5,506
Year 7	FY2035	15.0%	1,163	1,692	1.55x	4,342
Year 8	FY2036	17.0%	1,318	1,714	1.64x	3,024
Year 9	FY2037	19.0%	1,473	1,719	1.76x	1,551

Operating year	Financial year	% of sanction	Principal (Rs Lakh)	Debt service	DSCR	Closing balance
Year 10	FY2038	20.0%	1,551	1,634	1.99x	0
Total		100.0%	7,754	13,706	Min 1.46x	—

The ladder rises from 6% of the sanction in Year 4 to 20% in Year 10. Back-ending is deliberate: it tracks the cash-flow ramp rather than fighting it, and it front-loads the lender's interest income while deferring principal to the years in which the asset can genuinely produce it.

8.3 Covenant package

Covenant	Threshold	Modelled	Status
Minimum DSCR, annually from Year 4	≥ 1.25x	1.46x	Complies
Average DSCR over repayment period	≥ 1.40x	1.66x	Complies
Total debt to EBITDA, from Year 6	≤ 3.50x	1.47x	Complies
Current ratio, from Year 4	≥ 1.10x	1.52x	Complies
Minimum cash balance	≥ Rs 150 Lakh	Rs 158 L	Complies
Promoter contribution to total funding	≥ 30%	39.7%	Complies
TOL/TNW, Year 5 onward	≤ 2.50x	2.34x	Complies
TOL/TNW, Years 1–4	Holiday requested	Peak 4.45x in Year 3	Exception
Recommended operational covenants			
Occupancy floor, tested quarterly from Year 3	≥ 50%	—	Proposed
Scheme receivables as % of total	≤ 40%	—	Proposed
Anchor consultant retention notification	Immediate	—	Proposed

The three operational covenants at the foot of the table are the most valuable additions a lender can make to this credit, and they cost nothing. The sensitivity analysis in Section 5 established that occupancy and case mix drive this project far more than any balance-sheet ratio. An occupancy floor tested quarterly detects deterioration two to four quarters earlier than an annual leverage test, which is the difference between a manageable conversation and an enforcement action.

8.4 Should the deal be de-levered?

The credit committee has a choice between 70:30 and something more conservative. The simulation answers it cleanly, and the answer is not the obvious one:

Metric	70:30	65:35	60:40	55:45
Term debt (% of cost of project)	70%	65%	60%	55%
Support facility required (Rs Lakh)	1,772	1,579	1,387	1,197
Median equity IRR	23.2%	23.3%	23.4%	23.5%

Metric	70:30	65:35	60:40	55:45
Probability equity IRR above 15%	83.2%	84.2%	85.0%	86.1%
Probability NPV above zero	91.2%	91.3%	91.4%	91.5%
Median minimum DSCR	1.25x	1.35x	1.47x	1.61x
Probability covenant holds (DSCR $\geq$ 1.25x)	50.2%	58.7%	67.1%	74.6%
Probability of technical default	27.9%	21.3%	15.9%	12.1%
5th percentile minimum cash (Rs Lakh)	(5,127)	(4,318)	(3,548)	(2,863)

De-levering is nearly free, and buys a great deal of safety

Moving from 70:30 to 55:45 changes median equity IRR from 23.2% to 23.5% — a difference of about 0.3 percentage points, which is statistical noise in a simulation of this kind.

The same move cuts the probability of technical default from 28% to 12% and lifts the probability of holding covenant from 50% to 75%. It also reduces the standby facility the promoter must be able to produce by roughly Rs 5.8 Cr.

Why does the return barely move? Because leverage only amplifies returns to the extent the asset out-earns the debt, and once the loss-making ramp years are weighted in, this project's effective asset return is not far enough above its post-tax cost of debt of 8.0% for gearing to do much work. The promoter is taking on a great deal of additional default risk for almost no additional return.

Recommendation: 65:35. It captures most of the risk reduction, keeps the promoter's cash requirement manageable, and is a structure a credit committee will recognise as conservative without being punitive.

8.5 The institutional equity alternative

If the promoter cannot or will not commit the standby facility, the alternative is to bring in institutional equity at 60:40 gearing. The trade is explicit: less debt and less personal exposure, in exchange for dilution and governance rights.

Source	Rs Lakh	Rs Cr	Ownership
Promoter — land contributed in kind at cost	1,100	11.00	
Promoter — cash equity	2,204	22.04	
Promoter total	3,304	33.04	56.5%
Institutional investor	2,544	25.44	43.5%
Total equity	5,847	58.47	100.0%
Term debt (60% of cost of project)	6,596	65.96	—

Shares are issued at cost, so pre-money valuation equals the promoter's contributed capital and ownership is pro-rata to capital contributed. There is no step-up before the asset exists, and a fund that offered one at this stage would be doing the promoter no favours.

Exit scenario	Equity value (Rs Lakh)	Investor proceeds	MOIC	Investor IRR
Operating Year 5 at 11x (7-year hold)	22,572	9,819	3.86x	21.3%
Operating Year 5 at 13x (7-year hold)	27,528	11,974	4.71x	24.8%

Exit scenario	Equity value (Rs Lakh)	Investor proceeds	MOIC	Investor IRR
Operating Year 5 at 15x (7-year hold)	32,483	14,130	5.56x	27.8%
Operating Year 7 at 11x (9-year hold)	34,359	14,946	5.88x	21.8%
Operating Year 7 at 13x (9-year hold)	40,810	17,752	6.98x	24.1%
Operating Year 7 at 15x (9-year hold)	47,260	20,558	8.08x	26.1%

A 21% to 28% gross IRR over a seven- to nine-year hold clears most India growth-equity hurdles, though only just at the low end, and the hold period is long for a fund with a ten-year life. Expect the investor to push for a Year 5 to 6 exit, a drag-along right, and a ratchet if EBITDA milestones are missed.

A sequencing point worth making: the promoter does not have to choose today. A defensible path is to close the term loan at 65:35 now and raise institutional equity in Year 3 or 4 once occupancy is proven, at a genuine step-up rather than at cost. That trades early risk-sharing for later, cheaper dilution. The deciding question is simply whether the promoter can fund the standby facility in the meantime. If not, the choice has already been made.

9. Conditions and monitoring

9.1 Conditions precedent

#	Condition	Rationale
1	Written commitments from anchor consultants in interventional cardiology, orthopaedics, obstetrics and critical care	The largest driver of outcome in every analysis in this report
2	Rs 25 Cr standby facility documented, subordinated, non-withdrawable, evidenced by liquid net worth	The base-case Rs 17.7 Cr is inadequate in roughly half of simulated outcomes
3	36-month principal moratorium from commissioning, with 28 quarterly instalments thereafter	Without it, minimum DSCR is 0.27x and the credit is not bankable
4	Covenant holiday on TOL/TNW until Year 5, with the support facility treated as quasi-equity	The ratio peaks at 4.45x in Year 3 for reasons intrinsic to any greenfield ramp
5	Independent primary market research validating catchment demand and competitor bed census	The demand estimate in the Feasibility Study is constructed, not researched
6	Fixed-price construction and equipment contracts with liquidated damages tied to commissioning	Delay transmits directly to the revenue ramp and to interest during construction
7	Chief Executive Officer and Medical Director appointed, or a committed timeline to month 12	Empanelment, recruitment and accreditation all have lead times measured in quarters

9.2 Monitoring framework

Financial covenants tested annually will detect distress in this asset roughly a year after it becomes visible operationally. The monitoring framework should therefore be built on operating metrics, with defined responses attached to each trigger rather than left to judgement in the moment.

Metric	Frequency	Green	Amber	Red	Response at red
Occupancy vs plan	Monthly	Within 5%	5–15% below	>15% below	Board review; marketing and referral plan reset; draw on standby
Net ARPOB vs plan	Monthly	Within 5%	5–12% below	>12% below	Case-mix review; payer renegotiation; scheme share cap
EBITDA margin	Quarterly	Above plan	0–400 bps below	>400 bps below	Cost review; procurement renegotiation; headcount freeze
Debtor days	Monthly	Below 55	55–75	Above 75	Claims escalation; scheme share reduced; working capital review
Cash balance	Monthly	Above Rs 300 L	Rs 150–300 L	Below Rs 150 L	Mandatory standby drawdown; lender notification
DSCR (rolling four quarters)	Quarterly	Above 1.40x	1.25–1.40x	Below 1.25x	Covenant event; restructuring discussion
Anchor consultant retention	Continuous	All retained	One at notice	Two or more	Immediate lender notification; retention or replacement plan

9.3 What would change this opinion

For completeness, the evidence that would cause this report to withdraw its recommendation:

- Primary research showing the addressable pool is materially smaller than assumed. A halving would take the required market share from about 20% to 41%, where achievability becomes genuinely doubtful.
- Failure to secure anchor consultants in interventional cardiology and orthopaedics, which removes the differentiated case mix on which the ARPOB assumption rests.
- Refusal by the lender to grant the 36-month principal moratorium, in which case the deal must be de-levered to roughly 55:45 to remain bankable.
- Inability of the promoter to commit the Rs 25 Cr standby facility, in which case the institutional equity route in Section 8.5 becomes necessary rather than optional.
- Announcement of a competing tertiary facility in the same catchment before commissioning, which would compress ramp and tariff simultaneously — the combination the pessimistic scenario models.

10. Concluding opinion

Fungi Labs Multi-Speciality Hospital is a viable project. It earns a project IRR of 22.13% against a cost of capital of 12.5%, generates a net present value of Rs 123.19 Cr, requires roughly a fifth of the organised private admissions in its catchment, and creates value in 91% of 10,000 simulated futures. The demand case is credible, the cost estimate is benchmarked, and the operating assumptions sit within published sector ranges.

It is bankable on the structure recommended in Section 8, and not on the structure originally proposed. The single change that matters is deferring the first principal instalment to operating Year 4, which lifts minimum DSCR from 0.27x to 1.46x without altering the gearing, the pricing or the lender's yield.

It carries material residual risk even so structured. The covenant holds in 51% of simulated outcomes and there is a 27% probability of failing to cover debt service in at least one year. That risk is reduced meaningfully, and at almost no cost in return, by de-levering to 65:35 and by sizing the promoter standby facility off the distribution rather than off the base case.

The broader lesson this appraisal illustrates is worth stating separately from the recommendation. A financial model tells you what the numbers do; it does not tell you whether a deal is sound. This project has an attractive base case and a fragile structure, and only the risk analysis distinguishes between them. A promoter who read the base case alone would conclude the deal was comfortable. A lender who read the stress case alone would decline it. Both would be wrong, and both would be wrong for the same reason: a single scenario, however carefully built, cannot describe a distribution.

This Viability and Bankability Report is document 3 of 4, accompanied by the Feasibility Study, the Detailed Project Report, the Learning Companion, the master financial model workbook and the investor presentation. Fungi Labs is a fictitious entity; this is an illustrative case study and not investment, credit, legal or tax advice.